



PAPER – 1: ACCOUNTING



QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:
 - (i) The debit notes issued are used to prepare sales return book.
 - (ii) Sale of office furniture should be credited to Profit and Loss Account.
 - (iii) Outstanding salaries for the previous year shall be shown as liability in the current year balance sheet.
 - (iv) When closing inventory is overstated, net income for the accounting period will be understated.
 - (v) The results and position disclosed by final accounts are not exact.
 - (vi) In case of a public holiday, the due date of the bill falls on the next working day.
 - (vii) Goodwill is intangible asset therefore it cannot be valued
 - (viii) Where a Non-Profit organization is a separate trading activity, the profit / loss from the trading account shall be transferred to Income Expenditure Account at the time of consolidation.
 - (ix) The firm will receive surrender value of the joint life policy on the death of the partner.
 - (x) Company X Ltd. is incurring huge losses; the Board of Directors are of the opinion that in case of losses, there is no need to pay interest to debenture holders.

Theoretical Framework

2. (a) Distinguish between fundamental accounting assumption and accounting policies.
- (b) Change in accounting policy may have a material effect on the items of financial statements." Explain the statement with the help of an example.

Journal Entries

3. (a) Pass a journal entry in each of the following cases:
- (i) A running business was purchased by Mohan with following assets and liabilities:
Cash ₹ 20,000, Land ₹ 40,000, Furniture ₹ 10,000, Stock ₹ 20,000, Creditors ₹ 10,000, Bank Overdraft ₹ 20,000.
 - (ii) Sold goods to Gagandeep for ₹ 1,00,000 at trade discount of 20% and charged IGST @12%
 - (iii) Goods distributed by way of free samples, ₹ 10,000.
 - (iv) goods of list price ₹ 40,000 returned by Gagandeep.
 - (v) Kuldeep became an insolvent and could pay only 50 paise in a rupee. Amount due from him ₹ 6,000.

Capital or Revenue Expenditure

- (b) Classify the following expenditures as capital or revenue expenditure/receipt:
- (i) An extension of railway tracks in the factory area.
 - (ii) Amount spent on painting the factory.
 - (iii) Payment of wages for building a new office extension
 - (iv) Premium received on issue of shares
 - (v) Rings and Pistons of an engine were changed to get full efficiency.
 - (vi) Legal fees paid to acquire a property

Subsidiary Books

4. (a) Prepare Sales Book of M/s. Alpha of Kanpur for March, 2024
- Mar. 5** Sold to M/s. ABC 10 pieces of Chairs @ ₹5,000/- each less Trade Discount 5%.
- Mar.12** Sold to M/s. PQR 25 pieces of Tables @ ₹2,000/- each less Trade Discount 10%.
- Mar.18** Sold to M/s. MTB 5 pieces of Recliner Chairs @ ₹11,000/- each less Trade Discount 10%. Payment received through cash.
- Mar.28** Sold to M/s. LMS 50 pieces of cupboards @ ₹10,000/- each less Trade Discount 20%.

Rectification of Errors

- (b) Mr. Satvik was unable to agree the Trial Balance last year and wrote off the difference to the Profit and Loss Account of that year. Next year, he appointed a Chartered Accountant who examined the old books and found the following mistakes:
- (i) Purchase of a scooter was debited to conveyance account ₹ 30,000. Mr. Ratan charges 10% depreciation on scooter.
 - (ii) The total of return inward book for July, 2024 ₹ 12,400 was not posted to the ledger.
 - (iii) A credit purchase of goods from Mr. X for ₹ 20,000 was entered as sale.
 - (iv) Receipt of cash from Mr. Preetish was posted to the account of Mr. Ravish ₹ 10,000.
 - (v) Receipt of cash from Mr. Chandu was posted to the debit of his account, ₹ 5,000.
 - (vi) While carrying forward the total in the Purchases Account to the next Page ₹ 65,950 was written instead of ₹ 55,950.
 - (vii) Sale of goods to Mr. Rohan for ₹ 20,000 was omitted to be recorded.

(viii) Freight paid on a machine ₹ 5,600 was posted to the freight Account as ₹ 6,500.

Pass the necessary rectification entries.

Bank Reconciliation Statement

5. From the following particulars of M/s Iqbal enterprises, prepare a Bank reconciliation statement:

- (1) Bank overdraft as per Pass Book as on 31st March, 2024 was ₹ 8,800
- (2) Cheques deposited in Bank for ₹ 5,800 but only ₹ 2,000 were cleared till 31st March.
- (3) Cheques issued were ₹ 2,500, ₹ 3,800 and ₹ 2,000 during the month. The cheque of ₹ 5,800 is still with supplier.
- (4) Dividend collected by Bank ₹ 1,250 was wrongly entered as ₹ 1,520 in Cash Book.
- (5) Corporation tax ₹ 1,200 paid by Bank as per standing instruction appears in Pass Book only.
- (6) Interest on overdraft ₹ 930 was debited by Bank in Pass Book and the information was received only on 3rd April 2024.
- (7) Direct deposit by M/s Rajesh Trader ₹ 400 not entered in Cash Book.
- (8) Amount transferred from fixed deposit A/c into the current A/c ₹ 2,000 appeared only in Pass Book.

Valuation of Inventories

6. (a) The following are the details of material inventory bought and used by manufacturing company:

Date	Particulars	Unit and Rate
1.10.24	Balance opening inventory	NIL
1.10.24	Material bought	200 unit, ₹60 per unit

2.10.24	Issued for use	100 unit
3.10.24	Material bought	400 unit, ₹80 per unit
4.10.24	Issued for use	200 unit
7.10.24	Issued for use	200 unit

You are required to calculate the value of inventory material as on 7.10.24 by applying weighted average method.

- (b) From the following information, calculate the historical cost of closing inventories using adjusted selling price method:

Purchase during the year	- ₹ 10,00,000
Sales during the year	- ₹ 15,00,000
Opening Inventory	Nil
Closing Inventory at selling price	₹ 2,00,000

Depreciation and Amortisation

7. M/s. Deep lakshmi purchased a second-hand machine on 1st April, 2020 for ₹ 1,60,000. Overhauling and erection charges amounted to ₹ 40,000.

Another machine was purchased for ₹ 80,000 on 1st Oct, 2020.

On 1st Oct, 2022, the machine installed on 1st April, 2020 was sold for ₹ 1,00,000. Another machine for ₹30,000 was purchased and was installed on 31st December, 2022.

Under the existing practice the company provides depreciation @ 10% p.a. on original cost. However, from 1st April,2023 it decided to adopt WDV method and to charge depreciation @ 15% p.a. You are required to prepare Machinery account for the years 2020 to 2024.

Bills of Exchange

8. On 1st April,2024, X sells goods to Y for ₹25,000 plus IGST@ 18% and draws two bills of exchange on him; the first bill for ₹15,000 for 2 months and second bill for the balance for 3 months. Y accepts and returns these bills to X. Both the bills are sent to the bank for collection

on 1st April, 2024. In due course, X receives the information from the bank on the due date of the respective bill that the bill for ₹15,000 has been duly met and the other bill has been dishonored. Noting charges paid on the dishonour of second bill are ₹500. Pass the journal entries along with narrations in the books of X.

Final accounts and Rectification of entries

9. On 31st March, 2024 the trial balance of Mr. Robin was as follows:

Particulars	Debit (₹)	Particulars	Credit (₹)
Stock on 1/4/2023		Sundry Creditors	4,50,000
Raw Materials	6,30,000	Bills Payables	2,25,000
Work-in-Progress	2,85,000	Sale of scrap	75,000
Finished Goods	4,65,000	Commission received	13,500
Sundry Debtors	7,20,000	Provision for doubtful debts	49,500
Carriages on Purchase	45,000	Capital account	30,00,000
Bills Receivables	4,50,000	Sales	50,16,000
Wages	3,90,000	Bank overdraft	2,55,000
Salaries	3,00,000		
Telephone and Internet Charges	30,000		
Repairs to office furniture	10,500		
Cash at Bank	5,10,000		
Office Furniture	3,00,000		
Repairs to Plant	33,000		
Purchases	25,50,000		
Plant and Machinery	21,00,000		
Rent	1,80,000		
Lighting	40,500		
General Expenses	45,000		
	90,84,000		90,84,000

The following additional information is available:

Stocks on 31st March,2024 were:

Raw material	₹ 4,86,000
Finished goods	₹ 5,43,000
Work-in-progress	₹ 2,34,000

Salaries and wages unpaid for the year ended 31st March,2024 were respectively, ₹ 27,000 and ₹ 60,000. Machinery is to be depreciated by 10% and office furniture by 7½%. A provision for doubtful debts is to be maintained @1% of sales. Rent is to be charged as to 3/4 to factory and 1/4 to office. Lighting is to be charged as to 2/3 to factory and 1/3 to office.

Prepare the Manufacturing Account, Trading Account and Profit and Loss Account for the year ended on 31st March,2024.

Financial Statements of Not for Profit Organizations

10. The following is the Receipts and payments account of Masters Club for the year ended on 31st March, 2024

Receipts and payments A/c for the year ended on 31st march 2024

Receipts	Amount (₹)	Payments	Amount (₹)
To balance b/d	8,450	By Salaries and wages	12,250
To Subscription	23,000	By Supply of refreshment	18,250
To Sale of refreshments	22,000		27,500
To Entrance fees	26,000	By Sports equipment	2,800
		By Telephone Charges	
To interest on investments @ 7%	4,550	By Electricity charges	15,600
		By Honorarium charges	6,500
		By balance c/d	1,100
	84,000		84,000

Additional information:

1. Following are the assets and liabilities on 31st March, 2023:
 Assets- Sports equipment- ₹ 32,000; Subscription in arrears- ₹ 7,600; furniture- ₹ 12,480
 Liabilities- Outstanding Electricity charges- ₹ 5,400; Subscription in advance- ₹ 6,250
2. Following are the assets and liabilities on 31st March, 2024-
 Assets- Sports equipment- ₹ 50,500; Subscription in arrears- ₹ 5,200; furniture- ₹ 11,180
 Liabilities- Outstanding Electricity charges- ₹ 3,800; Subscription in advance- ₹ 4,850
3. 50% of the entrance fees to be capitalized.
4. Interest on the investments is being received in full, and the investments have been made on 1.4.2022

You are required to prepare Income and Expenditure account and the Closing balance sheet as of 31st March 2024 in the books of Masters Club.

Accounts from Incomplete Records

11. Following is the incomplete information of Moonlight Traders:

The following balances are available as on 31.03.2023 and 31.03.2024.

Balances	31.03.2023	31.03.2024
Land	5,00,000	5,00,000
Plant and Machinery	2,20,000	3,30,000
Office equipment	1,05,000	85,000
Debtors	?	2,25,000
Creditors for purchases	95,000	?
Creditors for office expenses	20,000	15,000
Stock	?	65,000

Long term loan from FBI @ 12%.	1,60,000	100,000
Bank	25,000	?

Other Information	In ₹
Collection from debtors	9,25,000
Payment to creditors for purchases	5,25,000
Payment of office expenses (excluding interest on loan)	42,000
Salary paid	32,000
Selling expenses	15,000
Cash sales	2,50,000
Credit sales (80% of total sales)	
Credit purchases	5,40,000
Cash purchases (40% of total purchases)	
GP Margin at cost plus 25%	
Discount Allowed	5,500
Discount Received	4,500
Depreciation to be provided as follows:	
Plant and Machinery	10%
Office Equipment	15%

Other adjustments:

- (i) On 01.10.23 they sold machine having Book Value ₹ 40,000 (as on 31.03.2023) at a loss of ₹ 15,000. New machine was purchased on 01.01.2024.
- (ii) Office equipment was sold at its book value on 01.04.2023.
- (iii) Loan was partly repaid on 31.03.24 together with interest for the year.

You are required to prepare Trading, Profit & Loss Account and Balance Sheet as on 31.03.2024.

Partnership Accounts**Profit and Loss Appropriation Account**

12. (a) Akbar and Bali are partners in a firm sharing profits and losses equally. On 1st April, 2023 the balance of their Capital Accounts were : Akbar ₹ 50,000 and Bali ₹ 40,000. On that date the balances of their Current Accounts were: Akbar ₹ 10,000 (credit) and Bali ₹ 3,000 (debit). Interest @ 5% p.a. is to be allowed on the balance of Capital Accounts as on 1.4.2023. Bali is to get annual salary of ₹ 3,000 which had not been withdrawn. Drawings of Akbar and Bali during the year were ₹ 1,000 and ₹ 2,000 respectively. The profit for the year ended 31st March, 2024 before charging interest on capital but after charging Bali salary was ₹ 70,000. It is decided to transfer 10% of divisible profit to a Reserve Account. Prepare Profit & Loss Appropriation Account for the year ended 31st March, 2024 and show Capital and Current Accounts of the Partners for the year.

Calculation of goodwill

- (b) The following information given below:
- (i) Total Assets ₹10,00,000
 - (ii) External Liabilities ₹1,80,000
 - (iii) Normal Rate of Return 10%
 - (iv) Average Net Profit of last five years ₹1,00,000
- You are required to calculate goodwill by applying:
- (i) Capitalization Method and
 - (ii) 3 year's purchase of super profits.

Admission and Retirement of Partner

13. Acme & Co. is a partnership firm with partners Mr. X, Mr. Y and Mr. Z, sharing profits and losses in the ratio of 10:6:4. The balance sheet of the firm as at 31st March, 2024 is as under:

Liabilities		₹	Assets	₹
Capitals:			Land	30,000
Mr. X	2,40,000		Buildings	6,00,000
Mr. Y	60,000		Plant and machinery	3,90,000
Mr. Z	90,000	3,90,000	Furniture	1,29,000
Reserves			Investments	36,000
(un-appropriated profit)		60,000	Inventories	3,90,000
Long Term Debt		9,00,000	Trade receivables	4,17,000
Bank Overdraft		1,32,000		
Trade payables		5,10,000		
		19,92,000		19,92,000

It was mutually agreed that Mr. Y will retire from partnership and in his place Mr. P will be admitted as a partner with effect from 1st April, 2024. For this purpose, the following adjustments are to be made:

- Goodwill is to be valued at ₹3 lakh but the same will not appear as an asset in the books of the reconstituted firm.
- Buildings and plant and machinery are to be depreciated by 5% and 20% respectively. Investments are to be taken over by the retiring partner at ₹ 45,000. Provision of 20% is to be made on Trade receivables to cover doubtful debts.
- In the reconstituted firm, the total capital will be ₹ 6 lakhs which will be contributed by Mr. X, Mr. Z and Mr. P in their new profit sharing ratio, which is 2:2:1.
 - The surplus funds, if any, will be used for repaying bank overdraft.
 - The amount due to retiring partner shall be transferred to his loan account.

You are required to prepare

- (a) Revaluation account;
- (b) Partners capital accounts;
- (c) Bank account; and
- (d) Balance sheet of the reconstituted firm as on 1st April, 2024.

Dissolution of Partnership

14. Neptune, Jupiter, Venus and Pluto had been carrying on business in partnership sharing profits and losses in the ratio of 3 : 2 : 1 : 1. They decide to dissolve the partnership on the basis of the following Balance Sheet as on 30th April, 2024:

Liabilities	₹	₹	Assets	₹	₹
Capital Account:			Premises		1,20,000
Neptune	1,00,000		Furniture		40,000
Jupiter	<u>60,000</u>	1,60,000	Stock		1,00,000
General Reserve		56,000	Debtors		40,000
Capital Reserve		14,000	Bank		8,000
Sundry Creditors		20,000	Capital Overdrawn:		
Mortgage Loan		80,000	Venus	10,000	
			Pluto	<u>12,000</u>	22,000
		<u>3,30,000</u>			<u>3,30,000</u>

- (i) The assets were realised as under:

	₹
Debtors	24,000
Stock	60,000
Furniture	16,000
Premises	90,000

- (ii) Expenses of dissolution amounted to ₹ 4,000.
- (iii) Further creditors of ₹ 12,000 had to be met.

- (iv) General Reserve unlike Capital Reserve was built up by appropriation of profits.

You are required to draw up the Realisation Account, Partners' Capital Accounts and the Bank Account assuming that Venus became insolvent and nothing was realised from his private estate. Apply the principles laid down in Garner vs Murray.

Issue and Forfeiture of Shares

15. Kunal Fortune Ltd invited applications for issuing 30,000 Equity Shares of ₹ 10 each. The amount was payable as follows:

- | | |
|-------------------------------|---------------|
| (i) On Application | ₹ 1 per share |
| (ii) On Allotment | ₹ 2 per share |
| (iii) On First call | ₹ 3 per share |
| (iv) On Second and final Call | ₹ 4 per share |

The issue was fully subscribed. Arun to whom 300 shares were allotted, failed to pay the allotment money and his shares were forfeited immediately after the allotment. Ajeet to whom 450 shares were allotted, failed to pay the first call. His shares were also forfeited after the first call. Afterwards the second and final call was made. Mohan to whom 150 shares were allotted failed to pay the second and final call. His shares were also forfeited. All the forfeited shares were re-issued at ₹ 9 per share fully paid-up.

Pass necessary Journal entries in the books of Kunal Fortune Ltd.

Bonus Issue and Redemption of Preference Shares

16. The following is the summarized Balance Sheet of Trinity Ltd. as at 31.3. 2023:

Liabilities	₹	Assets	₹
Share Capital		Fixed Assets 3,00,000	
Authorised		Less: Dep <u>1,00,000</u>	2,00,000
10,000 10% Redeemable Preference		Investments	1,00,000

Shares of ₹ 10 each	1,00,000		
90,000 Equity Shares of ₹10 each	9,00,000		
	10,00,000		
Issued, Subscribed and Paid-up Capital		Current Assets and Loans and Advances	
10,000 10% Redeemable Preference		Inventory	45,000
Shares of ₹ 10 each	1,00,000	Trade receivables	25,000
10,000 Equity Shares of ₹ 10 each	1,00,000	Cash and Bank Balances	50,000
(A)	2,00,000		
Reserves and Surplus			
General Reserve	1,20,000		
Securities Premium	70,000		
Profit and Loss A/c	18,500		
(B)	2,08,500		
Current Liabilities and Provisions (C)	11,500		
Total (A + B + C)	4,20,000	Total	4,20,000

For the year ended 31.3. 2024, the company made a net profit of ₹ 35,000 after providing ₹ 20,000 depreciation.

The following additional information is available with regard to company's operation :

1. The preference dividend for the year ended 31.3. 2024 was paid.
2. Except cash and bank balances other current assets and current liabilities as on 31.3. 2024, was the same as on 31.3.2023.
3. The company redeemed the preference shares at a premium of 10%.

4. The company issued bonus shares in the ratio of two share for every equity share held as on 31.3.2024.
5. To meet the cash requirements of redemption, the company sold investments.
6. Investments were sold at 90% of cost on 31.3.2024.

You are required to prepare necessary journal entries to record redemption and issue of bonus shares.

Issue of Debentures

17. On 1st April 2023, Globex Ltd. took over assets of ₹9,00,000 and liabilities of ₹1,20,000 of Himalayan Ltd. for the purchase consideration of ₹8,80,000. It paid the purchase consideration by issuing 8% debenture of ₹100 each at 10% premium on same date. XY Ltd. issued another 6000, 8% debenture of ₹100 at discount of 10% redeemable at premium of 5% after 5 years. According to the terms of the issue ₹30 is payable on application and the balance on the allotment on debentures. It has been decided to write off the entire loss on issue of discount in the current year itself.

You are required to pass the journal entries in the books of XY Ltd. for the financial year 2023-24

18. Write short notes on:
 - (i) Going Concern concept.
 - (ii) Objective of Accounting Standards.
 - (iii) Retirement of bills of exchange.
 - (iv) Importance of bank reconciliation to an industrial unit.